

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
MASTER OF BUSINESS ADMINISTRATION (MBA)
POST GRADUATE DIPLOMA IN MANAGEMENT (PGDM)
SEMESTER - III - UNIVERSITY EXAMINATION MARCH 2018
MB822.2 SECURITY ANALYSIS AND INVESTMENT MANAGEMENT (OLD)
MB822.3 SECURITY ANALYSIS AND INVESTMENT MANAGEMENT (NEW)

Date: 02/04/2018, Monday

Time: 10:00 AM to 01:00 PM

Maximum Marks: 70

Instructions:

1. This paper contains six questions.
2. All questions are compulsory.
3. The first five questions carry 10 marks. The last question carries 20 marks.

- Q.1 (A) Discuss factors affecting financial markets and its impact on valuation of different asset classes. [05] 10
- (B) Discuss various types of valuation ratios. P/E ratio is one of the important ratios to find out fair value of the company. Explain the valuation with the help one example. [05]
- Q.2 (A) Describe the characteristics of the following broad categories of mutual fund scheme: equity scheme hybrid scheme and debt scheme. [05] 10
- (B) Discuss risk associated with equity shares against bonds. Providing present market condition, is it advisable to invest in equity shares? Justify your views. [05]
- Q.3 Write short notes on 10
- (A) Basis in futures [05]
- (B) Commodities market [05]
- Q.4 (A) Difference between technical analysis and fundamental analysis [05] 10
- (B) What is the importance of triangles and head and shoulder chart patterns in technical analysis? [05]
- Q.5 (A) What is an efficient frontier for two securities? Explain MVP (minimum variance point). [05] 10
- (B) The rates of return on stock A and market portfolio for 15 periods are as given below. [10]

Period	Return on Stock A (%)	Return on market portfolio (%)	Period	Return on Stock A (%)	Return on market portfolio (%)
1	10	12	9	-9	1
2	15	14	10	14	12
3	18	13	11	15	-11
4	14	10	12	14	16
5	16	9	13	6	8
6	16	13	14	7	7
7	18	14	15	-8	10
8	4	7			

What is the beta for stock A?

- Q.6 Answer the questions based on the information given below: 20
- (A) How to make arbitrage profit from LIC Housing Limited trading at rupee 481 at spot and rupee 487 future contract maturing on February 27, 2015. Does it make sense to carry arbitrage at given quotation? Comment. [05]
- (B) Calculate the one month forward price of a share if spot price prevails in market is Rs. 1150, Futures Contract Maturity is 1 month from date; assume that Market Interest rate is 11%. [05]
- (C) Mr. XYZ is bullish on Nifty on 24th June, when the Nifty is at 4191.10. He buys a call option with a strike price of Rs. 4600 at a premium of Rs. 36.35, expiring on 31st July. [10]
- You are required to draw payoff chart and pay off profile.